

# Stabilization policy



To maintain steady speed, a motorist takes her foot off the accelerator when going downhill and puts it back on when going uphill. Stabilization policy is based on an analogous view of the economy. When the economy enters recession the government can stop output and employment falling by pumping in money. During a boom, as the economy races ahead and generates inflation, the government can slow it by taking money out. Just like the steady driver, active stabilization policy can smooth the ups and downs of the economic cycle.

Stabilization can be done with fiscal policy (government spending and taxation) and monetary policy (interest rates and money supply). However, stabilization policy has been criticized: some doubt these policies are effective controls on economic output, and even if they are, the effects may come with a delay. Such lags, alongside the unreliability of economic forecasting,

mean that by the time stabilization measures take effect, conditions may be very different from those planned for.